Business abandons carbon credits

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Author: Michael Bachelard

News

Some of Australia's biggest companies including Australia Post, Canva, Telstra and PwC have quit the federal scheme that allows them to claim net-zero carbon emissions amid mounting integrity concerns.

Australian corporations have spent billions of dollars in the past decade buying offsets in the voluntary market to reduce their climate footprint, but there are rising doubts about whether the projects generating those offsets actually reduce greenhouse gases.

More than 100 companies have now left the Climate Active scheme in the past two years, with the damaging corporate departures prompting the federal government to consider radically reshaping or shutting down the so-called "voluntary market" in carbon credits.

Climate Active is a federal government-run voluntary register which companies join to report their carbon emissions and the offsets they are buying, so they can then claim to their customers they are carbon-neutral.

Companies to have walked away include Australia Post, the Cbus superannuation fund, Telstra, NRMA, Canva and PwC. Even the Clean Energy Finance Corporation, the federal government's $30 billion "green bank", pulled out of Climate Active last October.

The Property Council of Australia, in a climate position paper, flagged concerns that establishing the "origin, credibility and environmental integrity [of carbon credits] can be challenging", and that poor quality credits present "a reputational risk to those relying on them".

Frankie Muskovic, national policy director at the Property Council, which represents the nation's largest building and shopping centre owners, said Climate Active needed reform but could leave a significant "gap" if it were dismantled.

"We don't want the baby thrown out with the bath water, but we want an overhaul to make sure Climate Active only accepts the highest integrity offsets ... we'd like to see that built into the scheme design," she said.

Some departing companies cite growing global scepticism over the quality of Australian and international carbon abatement certificates. Others say they now prefer to focus on directly reducing their own emissions rather than buying offsets.

Telstra's former head of energy and climate Ben Burge, who left the company in September, said buying carbon credits was no longer a sound investment partly due to public scepticism about greenwashing.

"Too many own goals in this sector [dodgy projects and methods] has increased the degree of difficulty on trust," he said.

"When I buy a pound of coffee beans or a barrel of oil, I know what I'm getting ... By contrast, a carbon credit represents a certified belief that some 'thing' has been done successfully to abate emissions. Neither the cause nor the effect can be readily understood. The whole equation collapses without trust that the 'thing' occurred."

A recent article in industry magazine Carbon Pulse cited multiple industry sources saying the federal government is planning to shut down Climate Active over concerns the government could be sued for endorsing carbon-neutral claims that turn out to be ill-founded.

The federal environment department confirmed the government was "carefully considering

the future direction" of the scheme. Fear of legal action escalated when Australian Parents for Climate Action in 2023 lodged a Federal Court lawsuit against EnergyAustralia.

The plaintiffs claimed the power giant was guilty of misleading or deceptive conduct by promoting electricity plans as "Go Neutral" and "PureEnergy", when the bulk of its energy comes from coal and gas. The neutrality claim was underpinned by carbon offsets bought on the voluntary market.

The Climate Active website shows most of EnergyAustralia's credits were bought from international projects including African wind and solar projects and an Indonesian geothermal plant. One Australian project was part of the mix.

After the Federal Court action began, EnergyAustralia dropped the carbon-neutral products from its website. It remains part of Climate Active.

About 80 per cent of the carbon offsets used on the voluntary market are bought from global projects.

The integrity of some international carbon offset schemes, particularly "nature-based" schemes such as forest carbon capture, have come under serious question, sending the price of some credits plummeting to well under $1 per tonne.

The other 20 per cent are Australian Carbon Credit Units (ACCU), and soon about half will come from projects claiming to suck carbon dioxide out of the atmosphere through the growth of new forests.

In Australia, the single-largest Australian abatement method, Human Induced Regeneration of forest, or HIR, has also run up against significant scientific questioning about whether it genuinely sequesters carbon. Despite this, ACCUs have maintained their value at about $35 per tonne.

Telstra head of environment Tom Penny said, "concerns over the use of carbon credits" was a "consideration" in the company's withdrawal last year from Climate Active.

Penny said Telstra was redirecting its climate action towards decreasing its direct emissions.

Australia Post withdrew from Climate Active in June, having been with the program since 2018 and a spokesperson said its own decarbonisation initiatives would be "more effective" than buying offsets.